Session 2: The IFRS Conceptual Framework

By the end of this session you must know the status and purpose of the Conceptual Framework, the objective of general purpose financial statements, the fundamental and enhancing qualitative characteristics, the definitions of the five elements of financial statements, the two underlying assumptions, and the core recognition, measurement and disclosure concepts.

Plan

1. Purpose, Scope and Status of the Conceptual Framework
2. Development of the Conceptual Framework
3. Objective of General Purpose Financial Statements
4. Qualitative Characteristics of Useful Financial Information
5. Elements of Financial Statements and Underlying Assumptions
6. Recognition and Measurement
7. Disclosure
8. Common Mistakes and Exam Traps
9. Must Know Absolutely

1. Purpose, Scope and Status of the Conceptual Framework

Conceptual Framework (scope): the IASB Conceptual Framework identifies the concepts that underlie the preparation and presentation of financial statements for external users.

- The Conceptual Framework is not itself an IFRS (i.e. not an accounting standard).
- If there is a conflict between the Conceptual Framework and a specific IFRS Accounting Standard, the requirements of the IFRS prevail.

Its stated purposes are:

- To assist regulators in developing standards based on consistent concepts (so that similar transactions are treated in the same way).
- To assist preparers in developing consistent accounting policies when no Standard applies to a particular transaction or event, or when a Standard allows a choice of accounting policy.
- To assist users in understanding and interpreting the Standards.

The Conceptual Framework is organised into eight chapters:

1. The objective of general purpose financial reporting.
2. Qualitative characteristics of useful financial information.
3. Financial statements and the reporting entity.
4. The elements of financial statements.
5. Recognition and de-recognition.
6. Measurement.
7. Presentation and disclosure.
8. Concepts of capital and capital maintenance.

2. Development of the Conceptual Framework

- The first Conceptual Framework was published in **1989**.
- **2004**: the IASB and the FASB agreed to a joint project to produce a revised conceptual framework.
- **2010**: the IASB adopted a new, partial version before suspending work on the project.
- **2012**: the IASB restarted the project following public consultation on its agenda.
- **May 2015**: an Exposure Draft proposing a revised Conceptual Framework was published, with a comment deadline of 25 November 2015.
- **March 2018**: the final, complete Revised Conceptual Framework was issued, effective from 1 January 2020.

3. Objective of General Purpose Financial Statements

Objective of general purpose financial reporting: to provide financial information about the reporting entity that is useful to existing and potential investors, lenders and other creditors in making decisions about providing resources to the entity.

- Decision-usefulness is the **sole** objective of financial reporting.
- The Revised Conceptual Framework clarifies that the information needed to meet this objective includes information that can be used to help assess management's stewardship of the entity's resources.
- Stewardship is therefore folded into decision-usefulness rather than treated as a separate objective.

General purpose financial statements should provide information about the entity's:

- **Financial position**: reflected in the balance sheet.
- **Financial performance**: reflected in the Statement of Comprehensive Income.
- **Cash flows**: reflected in the Statement of Cash Flows.
- **Changes in financial position not caused by financial performance**: e.g. share issues or dividend payments, reflected in the Statement of Changes in Equity.

4. Qualitative Characteristics of Useful Financial Information

- Qualitative characteristics of accounting information are the attributes that distinguish better (more useful) information from inferior (less useful) information for decision-making purposes.
- They split into **fundamental characteristics**, which information must possess to be useful, and **enhancing characteristics**, which increase the usefulness of information that is already relevant and faithfully represented.

4.1 Fundamental Characteristics

Relevance: information is relevant if it is capable of making a difference in the decisions made by external users (e.g. capital providers). Information is capable of making a difference when it has predictive value, confirmatory value, or both.

- Information has **confirmatory value** if it confirms or changes past (or present) expectations based on previous evaluations: confirming past expectations increases the likelihood that expected outcomes will occur, while changing expectations also changes the perceived probabilities of the range of possible outcomes.
- Information has **predictive value** if it has value as an input to the predictive processes capital providers use to form their own expectations about the future.
- The information itself need not be predictable to have predictive value, and conversely highly predictable information may have no predictive value for a particular purpose (e.g. straight-line depreciation is highly predictable year to year but may not help assess an entity's ability to generate net cash inflows).

Faithful representation: financial statements present fairly the financial position and performance of an entity when the information provided is reliable, unbiased, and represents the economic conditions it purports to represent. Faithful representation means the numbers and descriptions match what really existed or happened.

- Faithful representation does **not** imply total freedom from error, because economic phenomena reported in financial statements are generally measured under conditions of uncertainty.
- To represent a phenomenon faithfully, an estimate must be based on appropriate inputs, each reflecting the best available information.
- Information that is **complete**, **free from material error** and **neutral** is said to be a faithful representation of an economic phenomenon:
    - Completeness means the depiction includes all information necessary for faithful representation of the phenomenon it aims to represent. An omission can make information false or misleading.
    - Neutrality is the absence of bias intended to attain a predetermined result or to induce a particular behaviour: neutral information does not colour the image it communicates so as to influence behaviour in a particular direction, and reports are not neutral if the selection or presentation of information is used to achieve a predetermined result or judgment.
- The Revised Conceptual Framework reintroduces an explicit reference to **prudence**, described as the exercise of caution when making judgments under conditions of uncertainty, and states that prudence is important for achieving neutrality: it should not allow the overstatement or understatement of assets, liabilities, income or expenses.

4.2 Enhancing Characteristics

Four characteristics enhance the usefulness of information that is already relevant and faithfully represented:

- **Comparability**: achieved through consistent accounting treatments, enabling meaningful comparison across entities and over time.
- **Verifiability**: direct or indirect corroboration that information faithfully represents what it purports to represent.
- **Timeliness**: having information available to decision-makers in time to influence their decisions.
- **Understandability**: clear and concise presentation of information.

5. Elements of Financial Statements and Underlying Assumptions

5.1 Definitions of the Elements

Asset: a present economic resource controlled by the entity as a result of past events. An economic resource is a right that has the potential to produce economic benefits.

Liability: a present obligation of the entity to transfer an economic resource as a result of past events.

Equity: the residual interest in the assets of the entity after deducting all its liabilities.

Income: increases in assets or decreases in liabilities that result in increases in equity, other than those relating to contributions from holders of equity claims.

Expenses: decreases in assets or increases in liabilities that result in decreases in equity, other than those relating to distributions to holders of equity claims.

- Asset, liability and equity are the elements of **financial position** (reported in the balance sheet).
- Income and expenses are the elements of **financial performance** (reported in the Statement of Comprehensive Income).

5.2 Underlying Assumptions

Financial statements are normally prepared under two assumptions:

- **Going concern**: the entity is assumed to continue in operation for the foreseeable future and has neither the intention nor the need to close down or materially reduce the scale of its operations.
- **Accruals basis**: transactions and events are recognised and reported in the financial statements when they occur, not when the related cash is paid or received.

6. Recognition and Measurement

6.1 Recognition

Recognition: the process of incorporating in the balance sheet or income statement an item that meets the definition of an element and satisfies the criteria for recognition.

An element is recognised if such recognition provides users of financial statements with:

- Relevant information about the element.
- A faithful representation of the element.
- Information whose benefits exceed the costs of providing it.

Even though information about assets, liabilities, equity, income and expenses is generally relevant to users, recognition may fail to provide relevant information in three situations:

- It is uncertain whether an asset exists, is separable from goodwill, or whether a liability exists.
- An asset or liability exists but there is only a low probability that an inflow or outflow of economic benefits will result.
- A measurement of the asset or liability is available (or obtainable), but the level of measurement uncertainty is so high that the resulting information has little relevance, and no other relevant measure is available or obtainable.

6.2 Measurement

Measurement: the process of determining the monetary amounts at which the elements of the financial statements are to be recognised and carried in the balance sheet and income statement.

Two broad measurement bases are used:

- **Historical cost**: assets are recorded at the amount paid when acquired, and liabilities at the proceeds received in return for taking on the obligation.
- **Current value**, with two variants:
  - **Fair value**: the price that would be received to sell an asset, or paid to transfer a liability, in an orderly transaction between market participants at the measurement date.
  - **Value in use** (for assets) / **fulfilment value** (for liabilities). Value in use is the present value of the cash flows an entity expects to derive from the continuing use of an asset and its ultimate disposal. Fulfilment value is the present value of the cash flows an entity expects to incur as it fulfils a liability.
- The measurement basis most commonly used is historical cost, but this is sometimes combined with other bases. E.g. some entities use fair value to deal with the effects of changing prices of non-monetary assets such as property.

7. Disclosure

Full disclosure: financial statements should disclose all information that is of sufficient importance to influence the judgment and decisions of an informed user.

Full disclosure is limited by two pervasive constraints:

- **Materiality**: information is material if its omission or misstatement could influence the decisions users make on the basis of an entity's financial information.
- **Cost constraint**: the benefits of providing financial reporting information should justify the costs of providing that information.

8. Common Mistakes and Exam Traps

- Stating that decision-usefulness and stewardship are two separate objectives. The Revised Framework folds stewardship assessment into the single decision-usefulness objective, it is not a standalone second objective.
- Confusing fundamental characteristics (relevance, faithful representation, necessary for usefulness) with enhancing characteristics (comparability, verifiability, timeliness, understandability, improve usefulness but are not on their own sufficient).
- Treating "reliability" as the fundamental characteristic. The current framework's term is faithful representation (complete, neutral, free from material error), not reliability.
- Forgetting that faithful representation does not require freedom from all error. Only freedom from material error, given that estimation occurs under uncertainty.
- Treating prudence as if it conflicts with neutrality. The Revised Framework explicitly frames prudence as supporting neutrality by preventing over/understatement.
- Mixing up the asset/liability definitions ("present economic resource"/"present obligation" arising from past events) with the recognition criteria (relevance, faithful representation, cost-benefit). Definition and recognition are two separate tests.
- Forgetting that the Conceptual Framework is not an IFRS itself, and yields to a specific standard's requirements in case of conflict.

9. Must Know Absolutely

Must know:

• Conceptual Framework is not an IFRS. A specific IFRS prevails over it in case of conflict
• Sole objective: decision-usefulness for existing/potential investors, lenders and other creditors (stewardship is included within it, not separate)
• Fundamental characteristics: relevance (predictive and/or confirmatory value) and faithful representation (complete, neutral, free from material error)
• Enhancing characteristics: comparability, verifiability, timeliness, understandability
• Prudence (reintroduced by the Revised Framework) supports neutrality. Not overstating/understating elements
• Elements: asset (present economic resource from past events), liability (present obligation to transfer a resource), equity (residual interest), income and expenses (changes in assets/liabilities affecting equity, excluding transactions with equity holders)
• Underlying assumptions: going concern and accruals basis
• Recognition criteria: relevant, faithfully represented, benefits > costs of the information
• Measurement bases: historical cost vs current value (fair value, value in use / fulfilment value). Historical cost most common but often combined with fair value
• Full disclosure constrained by materiality and cost-benefit